



WSJ

THE WALL STREET JOURNAL WEEKEND



DOW JONES | News Corp ***** SATURDAY/SUNDAY, AUGUST 22 - 23, 2026 ~ VOL. CCLXXXVIII NO. 45 WSJ.com ★★★★★ \$6.00

What's News

Business & Finance

◆ **Nvidia is in** advanced talks about making an investment in Cloverleaf Infrastructure, a company that arranges power for data-center projects. **B9**

◆ **U.S. stock indexes** rose Friday but ended the week lower, with the S&P 500, Dow and Nasdaq retreating 1.4%, 0.8% and 2.1%, respectively. **A1**

◆ **Federal auto-safety** regulators opened an investigation into nearly one million GM pickup trucks and SUVs after receiving hundreds of reports of engine failures. **B9**

◆ **The Justice Department** and TikTok reached a \$400 million settlement to resolve allegations the social-media company violated laws meant to protect the online privacy rights of children. **B9**

◆ **BJ's Wholesale** raised its full-year profit outlook as lower gas prices and deals on groceries drew more customers to its warehouses in the latest quarter. **B9**

◆ **Hyundai's unionized** workers staged a full-day strike for the first time in a decade, halting production as they pressed demands for better wages and job protections. **B9**

◆ **The battle for control** of Italy's biggest banks entered a new phase after Banca Monte dei Paschi di Siena launched bids for Banco BPM and Banca Generali. **B10**

Worldwide

◆ **At least 10 high-ranking** officials are leaving Fannie Mae, raising concerns about more turmoil at one of the firms that back large segments of the mortgage market. **A2**

◆ **Army Secretary Dan** Driscoll is expected to step down from his role by the end of the year after months of tension with Defense Secretary Pete Hegseth. **A2**

◆ **Trump announced** a plan to temporarily allow more foreign beef imports into the U.S. without paying higher tariffs, his latest move aimed at easing a run-up in domestic beef prices. **A3**

◆ **The Supreme Court** said Trump can keep building his White House ballroom for now, as the justices continue weighing his emergency appeal to let the construction proceed. **A3**

◆ **ABC's decision** to move programming from one local TV station to another in St. Louis has drawn the scrutiny of the Federal Communications Commission. **A4**

◆ **The Trump administration** opened a new front in its campaign to remake higher education by threatening the American Bar Association's power to accredit law schools. **A5**

◆ **Prince Harry** and six others, including Elton John, were ordered to pay an initial £9.5 million (\$13 million) to the publisher of Britain's Daily Mail newspaper after their invasion-of-privacy case failed. **A7**

PEGGY NOONAN
The art of the self-deal. **A13**

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Capital Gridlock Is Suspended for a Weekend



STREET LEGAL: A driver practices for this weekend's Freedom 250 Grand Prix IndyCar series race in Washington. The cars, which can reach street-course speeds near 200 mph, will make 147 laps. The speed limit is 25 mph on Pennsylvania Avenue.

Bond Market's Turbulent Week Schools the Treasury Secretary

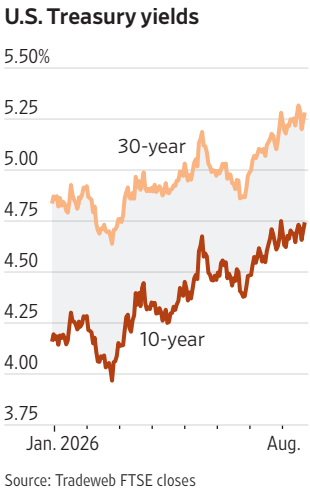
By SAM GOLDFARB

Brian Jacobsen was heading into a meeting Wednesday when Treasury Secretary Scott Bessent threw a major curveball at the U.S. bond market. A day earlier, yields on long-term U.S. Treasuries had touched near two-decade highs and investors were on edge. Jacobsen, chief economic strategist at Annex Wealth Management in Brookfield, Wis., had trimmed holdings of longer-term bonds in portfolios he manages for clients. Now, in the wake of the Treasury Department announce-

ing it would double buybacks for long-term bonds, the market was moving against him by rallying. The maneuver, Jacobsen said, clearly wasn't just a technical adjustment, but "an attempt to try to tame the moves" in Treasuries. But he also wasn't worried, viewing it as a superficial fix that wouldn't last. He was right. Over the next two days, Bessent's victory proved fleeting as investors gradually imposed their will on the bond market, snapping yields back to where they were before the gambit. The yield on the 10-year U.S.

Treasury note settled Friday at 4.737%, according to Tradeweb, up from 4.695% the previous week. As investors processed the intervention, they dumped the dollar in favor of gold and cryptocurrencies in a so-called debasement trade, with the WSJ Dollar index slipping 0.7% over the week, while bitcoin surged 22%. The Treasury Department's buyback announcement was meant to arrest a monthslong slide in bonds that has pushed *Please turn to page A2*

◆ **Gold powers back above \$4,600 an ounce..... B10**



Democrats Prepare To Probe President, His Allies

White House gears up for an array of subpoenas should GOP lose the House

By NATALIE ANDREWS AND OLIVIA BEAVERS

Democrats are readying multi-front investigations into the Trump administration should they win the House majority in November, and the White House is gearing up for an onslaught of subpoenas. But there are early divisions within the Democratic Party over where to focus their investigative firepower and whether to impeach the president for a third time. Some Democratic lawmakers worry about a voter backlash if they go too far. Others are concerned that an unwavering focus on President Trump risks overshadowing Democrats' agenda, including efforts to lower prices. In interviews, House Democrats and their top aides laid out nearly a dozen early investigative targets, including the handling of the Iran war, the president and his family's business dealings, Trump's efforts to build a White House ballroom, his ties to disgraced financier Jeffrey Epstein and the actions of federal immigration officials. A White House official said the administration is always prepared to respond to oversight requests, no matter who is in charge of Congress. *Please turn to page A4*

◆ **High court lets ballroom work go on for now..... A3**

INSIDE



EXCHANGE
Inside the mRNA cancer breakthrough that is changing Moderna's fortunes **B1**



JASON GAY
Did Carlos Alcaraz's return from his wrist injury just save the U.S. Open? **A14**

The Brains Who Powered China's Surprising AI Leap

University lab nurtured the computer scientists who are using ingenuity and imitation to chase down Anthropic and OpenAI

By RAFFAELE HUANG

Computer geeks Tang Jie and Yang Zhilin were mere teacher and pupil more than a decade ago, with dreams of building a machine that could think like a human. Today, they are two of the Chinese artificial-intelligence tycoons who have U.S. AI pioneers looking over their shoulders with alarm. Tang, a professor at Tsinghua University, co-founded Z.AI, one of the companies hot on the heels of Anthropic and OpenAI in capability and global usage. Yang, whom Tang once nominated for his university's top academic

award, leads another, Moonshot AI. Each company is valued at tens of billions of dollars. The rapid rise of Chinese AI models has sparked a host of questions in both Silicon Valley and Washington. How did Chinese AI labs get so far so fast? Where did their AI models come from? Are companies like Tang's and Yang's stealing from U.S. models, and should their products be banned to protect American national security? The careers of Tang and Yang show that China's AI push is nothing sudden. Tang, 49, *Please turn to page A10*

AI Agents Don't Require Any Sleep, But They're Keeping Founders Awake

By KATHERINE BINDLEY

Seductive. Intoxicating. All-consuming. These aren't descriptions of romantic love or illicit drugs—they're how startup founders talk about managing their newest employees: AI agents. Aditya Sharma recently went to bed at 6 a.m. after being up all night tending to his AI employees at Keel, which makes artificial-intelligence troubleshooting software for IT teams. "The cost of the agents being blocked for eight hours is way too high," the 27-year-old co-founder said. "They can be done with their work at any point of time, in the mid-

dle of the night." Founders have long put in punishing hours in the name of building the next big thing. But the growing capabilities of AI agents—and the speed at which the models powering them are evolving—give new meaning to working yourself to the bone. The more work AI agents do, the more founders find themselves working. Add to that the pressure of what many view as a once-in-humanity moment in technology and you get erratic sleep schedules, a struggle to focus on anything but work and the feeling that even though the pace isn't healthy or sustainable, you just can't stop.

Sharma, who lives in San Francisco, has put on more weight in recent months. And while he doesn't like to admit it, he finds it more difficult to be present with others outside of working hours because of his agents. "They just demand your attention," he said. "Does it need anything? Can I help it in any way?" Peter Pezaris, 56, promised his wife he would retire this year after more than 30 years in the tech industry and four successful exits. As a young founder, he was hospitalized twice during punishing work stretches. He once slept an hour a night for a month *Please turn to page A5*

How to Dock a Boat in 20 Seconds Without Taking Out a Tiki Bar

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Crusty watermen and young prodigies compete in frenetic speed-docking contests

By SCOTT CALVERT

POCOMOKE CITY, Md.—It's a spectacle akin to NASCAR on the water, with a jolt of monster truck energy. And every summer, it takes over the Chesapeake Bay. Competitive boat docking is the hottest sport you've likely never heard of. How it works: One at a time, captains race toward a dock, turn sharply and reverse into a slip. Then they toss rigid hoops onto pilings.

The fastest time wins, and it takes barely 20 seconds when all goes well. It often doesn't—and that's part of the draw. Hoops routinely fall short and must be pulled from the water. Boats have toppled pilings, and hard landings have cracked sterns. They can be stymied by the wind and tides. "I ran into a tiki bar one time. That wasn't too good," said Derrick Hoy, 55, who fishes *Please turn to page A10*



Dock 'n' roll

